

DEAL INTELLIGENCE

A \$103 Million Refinancing That Is Really a Bet on Tenant Credit Duration

RXR, Waterfall, and NY Life are not betting on suburban office. They are buying a 20-year income stream.

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A source-grounded Light Tower Insight.

The conventional reading of the \$103 million recapitalization of Sylvan Corporate Center is that capital is returning to suburban office. That reading is not wrong. It is incomplete.

The more revealing fact is that the anchor tenant, Englewood Health, signed a 20-year lease extension and expansion, doubling its footprint to roughly 202,000 square feet. The capital is not underwriting the four-building campus on Route 9W. It is underwriting a 20-year income stream backed by a hospital system with a credible operating franchise.

RXR, Waterfall Asset Management, and New York Life Investment Management provided the financing. The borrower is the Andalex Group, the owner of the 276,000-square-foot class A medical office and general office property in Englewood Cliffs, New Jersey. The proceeds will refinance the existing mortgage and fund costs tied to the tenant's expansion.

This is not a vote of confidence in suburban office broadly. It is a vote of confidence in a specific tenant, a specific lease structure, and a specific basis.

The distinction matters because the market has been waiting for a signal that office assets can attract new debt capital. The signal has arrived, but it comes with conditions. The asset must have a tenant whose credit and lease term can support the underwriting. The lease must be long enough to outlast the current rate cycle. The sponsor must have the credibility to execute the expansion.

Englewood Health meets those conditions. The hospital system operates orthopedics and primary care offices, and an Asian Health Center at the property. Its 20-year commitment gives the capital stack a duration that matches the debt. The lenders are not betting on leasing momentum or rent growth. They are betting that the tenant will still be paying rent in 2046.

That is a different kind of underwriting than the market has seen in recent years. During the low-rate era, office lenders often underwrote to a lease-up story or a rent roll that could be improved. Those assumptions are harder to defend when rates are elevated and vacancy is

high. The lenders in this deal are underwriting to a known income stream with a known expiration date.

The cast of capital providers is also instructive. RXR is a real estate investment firm with a track record in complex transactions. Waterfall Asset Management is a credit-focused manager that has been active in the distressed and transitional space. New York Life Investment Management brings insurance company capital with a long-duration liability profile. The combination suggests that the capital stack is structured to hold the asset, not to flip it.

Insurance company capital is particularly suited to this kind of trade. Life companies have long-duration liabilities that match long-duration real estate assets. They can underwrite to a 20-year lease because their own obligations stretch that far. Banks, by contrast, are constrained by shorter-duration funding and regulatory pressure. The presence of New York Life in the capital stack signals that the deal was structured for the long term, not for a quick refinancing.

The location also matters. Sylvan Corporate Center sits along Route 9W, a corridor known as the Trillion Dollar Mile for its concentration of corporate headquarters and proximity to Manhattan. The corridor has attracted tenants that value access to the region's labor pool and transportation infrastructure. But the corridor has also seen vacancy pressure as companies consolidate space. The deal does not prove that the corridor is fully recovered. It proves that a well-located asset with a credit tenant can still command capital.

For owners of suburban office assets, the implication is uncomfortable. The capital that is available is not available to every asset. It is available to assets that have a tenant with a long lease, a credit profile that can survive a downturn, and a sponsor that can execute. Assets that lack those features will continue to face refinancing pressure.

For lenders, the deal offers a template. Underwrite the tenant, not the asset class. Underwrite the lease duration, not the rent roll. Underwrite the sponsor's ability to deliver on the expansion, not the market's ability to absorb vacancy. The lenders in this deal are not taking a

view on suburban office. They are taking a view on Englewood Health's credit and its commitment to the property.

The open question is whether this template can scale. There are many suburban office assets with credit tenants and long leases. There are many more without them. The capital that is flowing to the first category will not flow to the second. The bifurcation that has defined the office market for the past three years is not ending. It is deepening.

The deal is not proof that office is back. It is proof that repriced office with a credit tenant and a long lease can still trade. The next test will be whether the same capital providers are willing to underwrite assets that lack those features. My read is that they will not. The capital that is available is capital that demands duration. Duration requires a tenant that will still be paying rent when the current rate cycle is a memory.